

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

TZ SSE Buyer, LLC,

Complainant,

v.

COSCO Shipping Lines Co. Ltd.,

Respondent.

RESPONDENT'S PROPOSED FINDINGS OF FACT

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Pursuant to 46 C.F.R. 502.214 and the Presiding Officer's Orders of May 6, 2024 and March 19, 2025, Respondent COSCO Shipping Lines Co. Ltd. ("COSCO"), through counsel, hereby submits the following Proposed Findings of Fact ("RPFFs") in support of its Brief in Opposition and states as follows:

I. INTRODUCTION

RPFF1. On November 4, 2024, Respondent filed its Verified Answer ("Answer") to TZ SSE Buyer, LLC ("Complainant" or "TZ") Verified Second Amended Complaint ("Compl."). Docket No. 27.

RPFF2. The "relevant time period" of the remaining unwaived accessorial charges at issue is 2021 through 2022. Compl. ¶ 13.

RPFF3. The "subject shipments" are those containers for which Complainant alleges that Respondent assessed to Complainant's predecessors-in-interest, via NVOCC Laufer Group International, Inc., "demurrage, detention, per diem, and yard storage charges." Compl. ¶ 14.

RPFF4. TZ alleged that "Respondent's assessment of the Charges, or a substantial majority thereof, and Respondent's acts and omissions that led to the assessment of the Charges, were incapable of incentivizing cargo movement and were therefore unreasonable." Compl. ¶ 19.

RPFF5. TZ alleged that "Respondent refused to act reasonably by extending the number of free days available for the Injured Parties to retrieve the Relevant Containers, despite the fact that the delays were caused by circumstances outside the Injured Parties' control and were attributable to Respondent' [sic] acts or omission." Compl. ¶ 21.

RPFF6. TZ alleged that "Despite this increase [in the volume of shipments entering certain ports], Respondent refused to divert shipments to less congested ports and failed to extend the

number of free days for the Injured Parties to retrieve the Relevant Containers and to drop off empty containers before it assessed the Charges.” Compl. ¶ 22.

RPFF7. TZ alleged that “Respondent failed to provide adequate practices and facilities to handle and store the Relevant Containers and also failed to provide adequate facilities for its customers, including the Injured Parties, to return empty containers.” Compl. ¶ 24.

RPFF8. TZ further alleged that “Respondent also failed to provide sufficient detail on their invoices to allow the Injured Parties to understand the reasons for the Charges and to be able to contest the Charges.” Compl. ¶ 28.

RPFF9. TZ alleged the following Charges were unreasonable: “demurrage on 244 containers, detention charges on 15 containers, per diem charges on 73 containers, and yard storage charges on 312 containers.” Compl. ¶ 14. In the Verified Second Amended Complaint, TZ alleged that “the total demurrage, detention, per diem, and yard storage charges total \$1,656,492.00.” *Id.* The Verified Second Amended Complaint included complaints outside the jurisdiction of the FMC. On June 2, 2025, the Presiding Officer granted Respondent’s Motion for Partial Summary Judgment with respect to all shipments moved in foreign-to-foreign commerce, i.e., through Canadian ports. Dkt. No. 56.

RPFF10. Larry Hallett, Complainant’s Director of Global Logistics, verified the Second Amended Complaint. Compl. p. 10.

II. THE PARTIES

A. COMPLAINANT TZ SSE BUYER AND ITS PREDECESSORS-IN-INTEREST

RPFF11. The “Injured Parties,” Complainant’s predecessors-in-interest, were manufacturing corporations with offices in Ohio, Tennessee, and Connecticut. Compl. ¶ 6. Impact Products LLC

(“Impact Products”) manufactured cleaning supplies and accessories and Safety Zone LLC (“Safety Zone”) manufactured personal protective equipment and products (“PPE”). *Id.*

RPFF12. Impact Products and Safety Zone were subsidiary companies of parent company Supply Source Enterprises (“Supply Source” or “SSE”). Compl. ¶ 6.

RPFF13. Larry Hallett was Supply Source’s Director of Global Logistics from August 2021 through the bankruptcy proceedings in July 2024. RX_000298 (Hallett Dep. Tr. 19:18-20:2). Following the dissolution of Supply Source in September 2024, Mr. Hallett assumed the position of Director of Global Logistics with Tranzonic, *i.e.* TZ SSE Buyer. RX_000299 (*Id.* at 21:3-13).

RPFF14. Thomas Studebaker began working as Supply Source’s Chief Restructuring Officer beginning in March 2024 to advise and manage SSE’s Chapter 11 bankruptcy filing. RX_000244 (Studebaker Declaration, ¶ 5-6). As such, Mr. Studebaker testified in support of the bankruptcy petition based on “information [obtained] during [his] tenure working with the Debtors and their professionals.” RX_000245 (*Id.* ¶ 8).

RPFF15. Mr. Studebaker testified in the Supply Source bankruptcy proceedings before the U.S. Bankruptcy Court for the District of Delaware that “in 2021 the Debtors’ [Supply Source and its subsidiaries] financial performance began to decline for several reasons,” listing that SSE had “increased purchases of inventory, even though the cost of such inventory was higher due to prevailing supply chain constraints during the pandemic” while “also lacking certain key process controls . . . result[ing] in the Debtors’ sales teams placing orders for inventory with minimal management oversight and lack of control over inventory count or inventory pricing.” RX_000254-RX_000255 (Studebaker Decl., ¶ 33-36). According to Mr. Studebaker, these decisions were made by Supply Source in reliance on an “industry demand study” commissioned

in early 2021 which “estimated that the company’s COVID-related growth would likely be sustained through 2024.” *Id.* ¶ 34.

RPFF16. As a result of SSE’s increased purchasing of inventory while lacking inventory controls, “the Debtors were left with large amounts of excess inventory that they could no longer sell at the same quantities for the same prices” and “the Debtors did not have adequate capacity to store the excess inventory they had at this time.” RX_000255 (Studebaker Decl., ¶ 37). “Thus, the Debtors were forced to enter into a number of agreements for additional storage space, substantially increasing the Debtors’ storage costs relative to their normal course operations.” *Id.*

RPFF17. Studebaker further testified that “excess inventory levels also caused significant issues with service quality and efficiency, as the Debtors’ warehouses were at capacity and warehouse employees struggled with servicing customers.” RX_000255 (Studebaker Decl., ¶ 38). These warehousing issues persisted throughout 2021 and 2022 into 2023. *Id.*

RPFF18. In the fall of 2023, as the pandemic waned, “the Debtors began to analyze and assess their distribution footprint with the aim of optimizing their distribution network.” RX_000255 (Studebaker Decl., ¶ 38).

RPFF19. Also in 2023, “the Debtors’ owners hired a new management team” that implemented mitigating practices, but those were ultimately not sufficient to overcome SSE’s declining revenue and cash flow. RX_000257. (Studebaker Decl., ¶ 43).

RPFF20. Mr. Studebaker testified that, “while the Debtors’ vendors have continued to provide invaluable support to the Debtors, the Debtors have fallen significantly behind on vendor payables.” RX_000264 (Studebaker Decl., ¶ 61).

RPFF21. In January 2024, SSE began evaluating bankruptcy and potential alternatives. RX_000258 (Studebaker Decl. ¶ 47). In May 2024, SSE filed its bankruptcy petition in the Bankruptcy Court for the U.S. District of Delaware. RX_000262-RX_000263 (*Id.* at 57).

RPFF22. Complainant TZ SSE Buyer, LLC, is a Delaware limited liability company that purchased the assets of Supply Source Enterprises, including Impact Products and Safety Zone and their claims against Respondent, in July 2024 as part of these bankruptcy proceedings. Compl. ¶¶ 2, 7.

B. NON-PARTY LAUFER GROUP INTERNATIONAL

RPFF23. Laufer Group International (“Laufer”) is a non-vessel-operating common carrier and ocean freight forwarder with corporate offices at 20 Vesey St., Suite 601, New York, NY 10007. (Compl. Exhibit A)

RPFF24. Laufer is licensed by the Federal Maritime Commission (“FMC” or “Commission”) as an NVOCC with license number 020617. RX_000526-RX_000527, (<https://www2.fmc.gov/oti/NVOCC.aspx> (last accessed July 10, 2025))

RPFF25. Laufer is a Licensed Customs Broker, filer code MR5. RX_000528-RX_000529, (U.S. Customs and Border Protection (“Customs”), Permitted Customs Broker Listing, <https://www.cbp.gov/about/contact/brokers-listing> (last accessed July 10, 2025))

RPFF26. Supply Source and its subsidiaries used Laufer’s services to import the Relevant Containers from foreign ports to the United States. Compl. ¶ 13.

RPFF27. TZ admitted that it never entered into a service contract with COSCO. RX_000348 (Complainant’s Responses to First Set of Requests, July 29, 2024, p. 2).

RPFF28. For approximately fifteen percent (15%) of bookings, SSE contracted with Laufer for drayage services. RX_000312 (Hallett Dep. Tr. 86:8-20).

RPFF29. For the remaining 85% of its bookings, SSE contracted with a dray brokerage company called TransNet, wherein SSE would book for drayage services with TransNet and TransNet would find a drayage carrier to fulfill the order. RX_000301 (Hallett Dep. Tr. 44:21-45:7).

RPFF30. Supply Source and its subsidiaries relied on Laufer to contact Respondent to request extensions to free time. RX_000309 (Hallett Dep. Tr. 75:11-76:10).

RPFF31. SSE's Director of Global Logistics, Larry Hallett, testified that he was not privy to Laufer's conversations with Respondent, but he "did not think they [Laufer] were getting any extensions." RX_000309-RX_000310 (Hallett Dep. Tr. 76:11-78:17).

RPFF32. Mr. Hallett testified that SSE did not communicate directly with COSCO regarding SSE containers. RX_000309 (Hallett Dep. Tr. 75:11-20).

RPFF33. COSCO North America's Vice President of Operations, Tom Takase, testified that "there w[ere] no disputes filed by Laufer within the portal" or by email. CX_1369 (Takase Dep. Tr. 48:21-49:24).

RPFF34. From COSCO's perspective, when working with an NVO or freight forwarder, that is COSCO's end customer; if the NVO has a final customer on their end, COSCO is "not privy to that." CX_001366 (Takase Dep. Tr. 34:22-35:21).

RPFF35. Laufer is not a party to this Proceeding.

C. RESPONDENT COSCO SHIPPING LINES CO. LTD.

RPFF36. Respondent COSCO Shipping Lines Co. Ltd. ("Respondent" or "COSCO") is a vessel-operating common carrier ("VOCC" or ocean common carrier) as defined by 46 U.S.C. § 40102(7).

RPFF37. COSCO is headquartered at No. 378 Dong Da Ming Road, Shanghai, 200080, People's Republic of China.

RPFF38. COSCO Shipping Lines (North America) Inc. ("CSLNA") is COSCO's agent in the United States with offices located at 100 Lighting Way, Secaucus, NJ 07094.

RPFF39. CSLNA is not an ocean common carrier.

RPFF40. As of December 2023, COSCO's vessel operations provided ocean transportation of property between over 144 countries.

RPFF41. Tom Takase is the Vice President for COSCO's North American Operations Center. CX_001359 (Takase Dep. Tr. 7:8-8:17).

RPFF42. Mr. Takase oversees all import operations customer service, as well as VIP customer service for imports and exports. CX_001359 (Takase Dep. Tr. 7:8-18).

RPFF43. Prior to his promotion to Vice President, Mr. Takase was the Assistant Vice President for COSCO's North American Operations Center beginning in 2016. CX_001359 (Takase Dep. Tr. 7:23-8:17).

III. THE RELEVANT PERIOD: COVID-19 PANDEMIC AND CONGESTION

RPFF44. The Relevant Period (2021-2022) identified in the Complaint occurred concurrently with the COVID-19 pandemic. RX_000296 (Hallett Dep. Tr. 23:16-24:4).

RPFF45. "The Nation's freight transportation systems were largely overwhelmed by the unprecedented high demand that resulted from COVID-related consumer spending patterns."

RX_000530-RX_000529, Testimony of Daniel B. Maffei Chairman Federal Maritime Commission Before the Subcommittee on Coast Guard and Maritime Transportation House Committee on Transportation and Infrastructure (March 23, 2023) (available at <https://www.fmc.gov/articles/testimony-of-chairman-maffei-before-congress-review-of-fiscal->

year-2024-budget-request-for-the-federal-maritime-transportation-programs-and-implementation-of-the-ocean-shipping-reform-act-o/)(last accessed July 10, 2025).

IV. TERMINOLOGY: DEMURRAGE, DETENTION, PER DIEM, YARD STORAGE

RPFF46. “Demurrage” is a charge to a shipper or consignee for use of marine terminal space for storage. (46 C.F.R. § 545.5) When COSCO invoices reference “storage,” these refer to demurrage charges. CX_001370-CX_001371 (Takase Dep. Tr. 53:25-54:9).

RPFF47. Demurrage charges originate with the marine terminal facility. CX_001363 (Takase Dep. Tr. 22:4:14)

RPFF48. Carrier demurrage charges are calculated based on the carrier’s cost with the marine terminal for container storage on dock plus the carrier’s container daily usage fee. CX_001364-CX_001365 (Takase Dep. Tr. 29:24-30:16).

RPFF49. “Detention” charges, as defined by the Commission, are “any charges, including ‘per diem,’ assessed by ocean common carriers ... related to the use of ... shipping containers, not including freight charges.” (46 C.F.R. § 545.5) The practice in the shipping industry is that the party responsible for retrieving a loaded container from a port and delivering its cargo to the addressee is allotted a certain number of days to return the empty container and any related equipment before detention charges begin to accrue. The amount of this so-called “free time” is either set forth in the ocean carrier's “tariff” of published terms and conditions for transportation or established by contract. Per diem detention charges provide an incentive for the timely return of equipment and compensate the ocean carrier for the opportunity cost of its late return. (*Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm'n*, 106 F.4th 1113, 1114–15 (D.C. Cir. 2024)).

RPFF50. “Free time” in the context of demurrage is the certain number of days which a customer has to retrieve a full container from the terminal. CX_001364 (Takase Dep. Tr. 26:12-27:2).

RPFF51. “Free time” in the context of detention is the certain number of days that COSCO allows shippers to use its equipment after the container has been out-gated before the empty container is due to be returned. CX_001360 (Takase Dep. Tr. 13:3-18)

RPFF52. The amount of free time allowed to a shipper is based on COSCO’s tariff. CX_001367 (Takase Dep. Tr. 41:5-23).

RPFF53. Complainant acknowledged that Supply Source never requested an extension of free time from COSCO. RX_000348 (Complainant’s Responses to First Set of Requests, July 29, 2024, p. 2).

RPFF54. “Detention” and “per diem” are used interchangeably within the industry. CX_001367-CX_001368 (Takase Dep. Tr. 41:24-42:14).

RPFF55. “Yard storage” is a charge levied by a storage yard, not by a carrier or terminal, for the storage of an empty or loaded container. COSCO does not charge yard storage. CX_001364 (Takase Dep. Tr. 29:8-11); RX_170 (McCown Dep. Tr. at 108:1-11); RX_000084 (Kent Report at ¶ 32(b)); RX_000044 (Hackett Report at 40).

RPFF56. COSCO does not bill rail demurrage or rail storage; these charges are billed directly by the railroad and paid to the railroad. CX_001375 (Takase Dep. Tr. 72:11-73:24).

RPFF57. COSCO did not charge Laufer or Supply Source for storage at rail depots. CX_001375 (Takase Dep. Tr. 72:11-73:24).

V. DEMURRAGE AND DETENTION: COSCO'S PRACTICES

RPFF58. COSCO's demurrage charges are based on the Incentive Principle, in that the longer the customer exceeds its allotted free time, the higher the rate of the charge. CX_001374 (Takase Dep. Tr. 66:10-20).

RPFF59. When COSCO invoices for demurrage (if at all), it does so according to the sea waybill terms and in accordance with its applicable service contract or published tariff rules. CX_001360 (Takase Dep. Tr. 12:24-13:2).

RPFF60. When an empty container is not returned by the last free day, COSCO issues detention invoices pursuant to its applicable tariff or service contract. CX_001360 (Takase Dep. Tr. 13:3-14:2).

RPFF61. During the Relevant Period and continuing through the present, COSCO's automated system would automatically send arrival notifications in various intervals when shipments reach certain benchmarks. CX_001361 (Takase Dep. Tr. 16:16-17:20).

RPFF62. Arrival notices inform the notify party exactly when the shipment is arriving beforehand, so they can plan their pickup dates with their trucker to avoid any demurrage based on the last free day. CX_001367 (Takase Dep. Tr. 40:4-19). Arrival notices also inform the notify party whether their shipments are on hold so that they can address such issues before the last free day. *Id.*

RPFF63. SSE received these arrival notices. SSE's Larry Hallett testified that "we'd get arrival notices, and we'd get delivery notices as well, at which point [] we would help facilitate that." RX_000298-RX_000299 (Hallett Dep. Tr. 32:17-33:11)

VI. DEMURRAGE AND DETENTION: COSCO'S DISPUTE PRACTICES

RPFF64. COSCO's published dispute resolution policies and practices regarding demurrage and detention billing contain information about points of contact, timeframes, and corroboration requirements. RX_000539-RX_000542, (COSCO Shipping Lines North America Demurrage and Detention (Per Diem) Disputes, Mitigations, and Waivers Procedure) (<https://world.lines.coscoshipping.com/na/en/dndp/dnddp/1/1>)

RPFF65. COSCO North America Vice President Tom Takase testified that COSCO management reviews cases for potential mitigation based on the circumstances described by a customer who submits a dispute. CX_001362 (Takase Dep. Tr. 18:11-19:12).

RPFF66. COSCO's practice is to waive, mitigate, and refund demurrage and detention charges when justified. CX_001370 (Takase Dep. Tr. 53:6-24).

RPFF67. COSCO has internal procedures to ensure that invoices are adjusted when there is a widespread error or a delay on COSCO's end of which COSCO is aware. CX_001372 (Takase Dep. Tr. 58:1-17).

RPFF68. COSCO has policies for approving mitigation for certain scenarios, including instances of gate closures, whereby COSCO would take the action of not billing for such days if COSCO was aware of the situation. CX_001362 (Takase Dep. Tr. 19:13-20:10).

RPFF69. A trucker or a consignee may obtain a waiver, credit, or refund of demurrage or detention charges from COSCO for a particular day simply by providing screen shots (or other corroboration) showing that the relevant facility(ies) were not available – including by reason of closure lack of appointments, or unavailable return locations. CX_001362, CX_001370 (Takase Dep. Tr. 19:13-20:10; 53:6-24).

RPFF70. Neither SSE nor Laufer submitted any disputes whatsoever through COSCO's FMC-recognized dispute resolution process for any of the shipments at issue in this litigation. CX_001369 (Takase Dep. Tr. 49:8-24); RX_000349 (Complainant's Responses to First Set of Requests, July 29, 2024, p. 3).

VII. THE RELEVANT SHIPMENTS

RPFF71. After the June 2 Order dismissing shipments in foreign commerce, the number of Relevant Shipments in this matter alleged by TZ is 228. Br. at 2.

RPFF72. All 228 shipments alleged by TZ were transported on container yard to container yard terms ("CY-CY").

A. LEGAL FRAMEWORK

RPFF73. The contract of carriage for the Relevant Shipments were bills of lading (sea waybills) issued by COSCO. The publicly available terms and conditions reflected the responsibilities of the shipper and the consignee. RX_000266-RX_000288, (COSCO Form Bill of Lading, available at https://lines.coscoshipping.com/lines_resource/pdf/coscon_tidan_cn.pdf (last visited July 12, 2025))

RPFF74. The bill of lading defines "Merchant" as "Consignor, the Shipper, the Receiver, the Consignee, the Owner of the Goods, the Holder or Endorsee of this Bill of Lading, any Person Owing, entitled to or claiming the possession of the Goods or the Bill of Lading and anyone acting on behalf of any such person." *Id.*

RPFF75. The bill of lading reflected delivery in Clause 5, "CARRIER'S RESPONSIBILITY: (1) Port to Port Shipment If box 4, box 5 and/or box 9 without any inserted, or the place(s) or port(s) indicated therein is/are same as the place(s) or port(s) that indicated in box 7 and box 8 on the front of this Bill of Lading, this Bill of Lading is a Port-to-Port contract.

The Carrier shall be responsible for the Goods as Carrier from the time when the Goods are received by the Carrier at the Port of Loading until the time of delivery thereof at the port of discharge to the Merchant or to the Authority as required by local laws or regulations, whichever occurs earlier.” *Id.*

RPFF76. The bill of lading also clearly stated the shipper or consignee was responsible for timely returning the empty container: “10. CARRIER’S CONTAINERS [...] (2) If Carrier's Containers and equipment are ... unpacked at the Merchant's premises, the Merchant is responsible for returning the empty Containers...to the point or place designated by the Carrier...within the time prescribed in the Tariff and/or required by the Carrier. Should a Container not be returned within the aforesaid time, the Merchant shall be liable for any detention, demurrage, loss or expenses which may arise from such non-return.” *Id.*

RPFF77. COSCO’s demurrage and detention rules were published in its tariff publication in the Relevant Period. CX_001360 (Takase Dep. Tr. 12:24-13:2).

RPFF78. The bill of lading also stated, “23. NOTIFICATION AND DELIVERY [...] (2) The Merchant shall take delivery of the Goods within the time provided for in the Carrier’s applicable Tariff or as required by the Carrier. (3) If the Merchant fails to take delivery of the Goods during a reasonable time or whenever in the opinion of the Carrier the Goods are likely to deteriorate, decay, become worthless or incur charges whether for storage or otherwise in excess of their value, the Carrier may, at its discretion, without prejudice to any rights which he may have against the Merchant, without notice and without any responsibility whatsoever attaching to him, unstuff, sell, destroy or dispose of the Goods at the sole risk and expense of the Merchant, and apply any proceeds of sale in reduction of the sums due to the Carrier from the Merchant. The aforesaid unstuffing shall constitute due delivery hereunder and thereupon all liability whatsoever of the

Carrier in respect of the Goods thereof shall cease. (4) Where the Carrier is obliged to hand over the Goods so carried into the custody of the port, customs or any other Authorities at the Port of Discharge or Place of Delivery and the Goods are delivered by the same to the Merchant without necessity of production of this Bill of Lading by the Merchant as required by the local law, regulation and/or practice, such hand-over shall constitute due delivery to the Merchant under this Bill of Lading and there-upon the liability of the Carrier in respect of the Goods shall entirely cease.” RX_000266-RX_000288 (COSCO Form Bill of Lading, available at https://lines.coscoshipping.com/lines_resource/pdf/coscon_tidan_cn.pdf) (last visited July 12, 2025)

B. SSE’S BUSINESS PRACTICES

RPFF79. SSE has adduced no evidence demonstrating that any of the alleged Charges, whether or not assessed by COSCO, violated the Incentive Principle.

RPFF80. During the Relevant Period, Supply Source and its subsidiaries “were purchasing large quantities of inventory at elevated prices” based on a study predicting COVID-19 pandemic purchasing of personal protective and janitorial equipment would continue through 2024. RX_000251-RX_000252 (Studebaker Dec. ¶ 34-35).

RPFF81. By the end of 2021, “the demand for PPE [SSE’s principal commodity; see RPFF11] had decreased to normal rates and, to make matters worse, some of the Debtors’ regular customers were ordering at lower than normal rates due to, among other things, (i) work from home policies, which depleted the need for office building janitorial services and related products, (ii) a rise in virtual schooling, which decreased the need for food services, janitorial services, and related products therewith, and (iii) changes around daily hotel room cleaning, which reduced the need for related sanitation and cleaning products.” RX_000252 (Studebaker Dec. ¶ 36).

RPFF82. During 2021 and 2022, Supply Source operated six warehouses located in the United States, in California, Connecticut, Indiana, Texas, Ohio and Florida. RX_000299 (Hallett Dep. Tr. 33:12-34:13).

RPFF83. During 2021 and 2022, SSE “did not have adequate capacity to store the excess inventory they had.” RX_000252 (Studebaker Dec. ¶ 37).

RPFF84. But it was not until the fall of 2023, SSE “began to analyze and assess their distribution footprint with the aim of optimizing their distribution network,” which led to several distribution center closures and openings. RX_000253 (Studebaker Dec. ¶ 38).

RPFF85. SSE did not own or operate trucks for the movement of containers. RX_000301 (Hallett Dep. Tr. 44:21-45:7).

RPFF86. SSE used a drayage broker, TransNet, to facilitate finding truckers to pick up loaded containers from place of delivery for transportation to SSE’s warehouses. RX_000301-302 (Hallett Dep. Tr. 44:21-45:7)

RPFF87. SSE’s problems managing its incoming cargo after the sharp decline in demand for PPE in the fall of 2021 became evident when SSE, who was responsible for timely removing its cargo from the marine or rail terminal, had difficulty doing so. For example, on September 15, 2021, Laufer (Erica Liu) and SSE (Jeannine Brietenbach) discussed the difficulty they were having promptly moving SSE’s cargo in container number BMOU3152880 from the marine terminal (“Any luck on the BMOU container FD [final destination] Laredo? No, not yet. I also tried the carrier Larry [Hallett] recommended, but they did not respond at all. Currently last free day ... is 9/20.” CX_002188 – CX_002189. Laufer let SSE know that it couldn’t guarantee that a trucker could remove the container by the last free day. CX_002187. This discussion also revealed that SSE was transshipping for re-export to Mexico or was moving its cargo to a warehouse instead of

its preferred final destination, where it could have incurred charges TZ characterized as “yard storage” or “demurrage.” CX_002184.

RPFF88. SSE also had trouble clearing its cargo through customs. Laufer, who also did SSE’s customs entry, warned SSE on September 7, 2021 that a container “might be sent to G.O [“General Order”] warehouse soon” as SSE had failed to timely enter the cargo and had not paid the required import duties. CX_002194-CX_002159.

RPFF89. SSE has adduced no evidence demonstrating that it disputed the Charges for the Relevant Shipments with COSCO directly. Further, Mr. Hallett testified that SSE did not communicate directly with COSCO. RX_000309 (Hallett Dep. Tr. 75:11-20). .

C. RELEVANT CHARGES

RPFF90. SSE’s Larry Hallett testified that SSE did not include “stop-off charges” (charges assessed by a dray provider for stopping at multiple warehouses) in its list of charges in contention in this litigation. RX_000315-RX_000316 (Hallett Dep. Tr. 100:6-102:5).

RPFF91. Nevertheless, at deposition on April 11, 2025, Mr. Hallett confirmed that one of the charges identified by Complainant, a single charge for container FFAU3291160, was for a stop-off fee. RX_000315-RX_000316 (Hallett Dep. Tr. 98:15-103:19)

RPFF92. COSCO responded to Complainant’s interrogatories for each shipment alleged, , informing Complainant which charges were not invoiced by COSCO. CX_002272-CX_002276.

RPFF93. Complainant’s Exhibit 12 includes notations made by COSCO for each of the bills of lading TZ asserts COSCO charged Laufer. CX_002273-CX_002276.

RPFF94. None of the charges listed on Complainant’s Amended Damages Spreadsheet as “yard storage” totaling \$256,055 were invoiced by COSCO and no such charges were paid to COSCO. *See*, for example, CX_002112 – CX_002114, an invoice from Laufer to Safety Zone for

BL No. COSU6881728780 for container number OOCU7956128 in the amount of \$8,425.00 for “Yard Storage”.

RPFF95. SSE’s Larry Hallett’s Affidavit does not demonstrate that he reviewed any invoice from COSCO to prepare either the Original Damages Spreadsheet or the Amended Damages Spreadsheet. CX_000002-CX_000005. Indeed, Exhibit A to Mr. Hallett’s Affidavit does not include a single invoice issued by COSCO. CX_000009-CX_000018. While the Hallett Affidavit asserts that Mr. Hallett reviewed “the bills of lading and container numbers in the Laufer invoices,” he says nothing about reviewing any COSCO bills of lading or invoices. CX_000005. The Amended Damages Spreadsheet therefore represents only the charges that Laufer invoiced to TZ, not the charges COSCO invoiced to Laufer. Indeed, a quick examination of the Laufer invoices attached to Mr. Hallett’s Affidavit makes this clear. CX_000154 – CX_001355.

RPFF96. TZ’s expert, John C. McCown, reviewed only seven (7) invoices issued by Laufer to SSE to reach the conclusion that COSCO was responsible for all the charges alleged in the Complaint. RX_000161 (McCown Dep. Tr. at 69:19-70:3).

RPFF97. Complainant’s Exhibit B to the Hallett Affidavit (Amended Damages Spreadsheet) includes four types of charges, namely, “demurrage, detention, per diem, and yard storage.” CX_000021.

RPFF98. The demurrage column in Complainant’s Amended Damages Spreadsheet totals \$262,124.21 (CX-000021-CX_000025) for the following MBLs:

COSU6316752850	COSU6318488740	COSU6319837580	COSU6328920152
COSU6885568670	COSU6886179250	COSU6317842370	COSU6886073730
COSU6886162610	COSU6316211170	COSU6318752200	COSU6886072220
COSU6288649490	COSU6318079980	COSU6881842290	COSU6331590280

COSU6331596201	COSU6338701190	COSU6886527540	COSU6887940960
COSU6887985900	COSU6305424860	COSU6331149490	COSU6886083080
COSU6338622910	COSU6886056120	COSU6885191110	COSU6320760721
COSU6339402430	COSU6886041600	COSU6313709500	COSU6338346106
COSU6886550230	COSU6886555060	COSU6333685490	COSU6885550720
COSU6885522720	COSU6330549560	COSU6314066110	COSU6885150300
COSU6336396560	COSU6886081590	COSU6886081960	COSU6886113830
COSU6322076282	COSU6881686510	COSU6338884654	COSU6885633400
COSU6881887510	COSU8027296510	COSU6332227930	COSU6887186190
COSU6330022330	COSU6314065990	COSU6881564800	COSU6314066370
COSU6328741530	COSU6340335690	COSU6337674734	COSU6340295550
COSU6881724830	COSU6327434280	COSU6328964480	COSU6887174970
COSU6887186180	COSU6323603810	COSU6886072190	COSU6887263250
COSU6881678280	COSU6338061210	COSU6881711990	COSU6340224370
COSU6339585940	COSU6887900280	COSU6886632250	COSU6324670690
COSU6333117430	COSU6885536770	COSU6329937667	COSU6335906880
COSU6887226840	COSU6881690500	COSU6888072140	COSU6337674733
COSU6340567410	COSU6340224620	COSU6335837450	COSU6337905640
COSU6337905220	COSU6320853700	COSU6326091010	COSU6887264280
COSU6340055930	COSU6327696090	COSU6329937668	COSU6329690101
COSU6881557090	COSU6331511190	COSU6881678290	COSU6340224730
COSU6288446400	COSU6305796900	COSU6338659820	COSU6291370070
COSU6291489690	COSU6881608160	COSU8026189970	COSU6887158400

COSU6887235530	COSU6886615680	COSU6886615560	COSU6325318420
COSU6324769310	COSU6327995270	COSU6329266860	COSU6328958870
COSU6328958630	COSU6330297380	COSU6330119370	COSU6333283510
COSU6333784880	COSU6881241210	COSU6333092240	COSU6887953200
COSU6888067650	COSU6343133210	COSU6887273290	COSU6338591160

RPFF99. The detention column totals \$16,210.00 (CX_000025) for the following MBLs:

COSU6338701190	COSU6337560160	COSU6337559840	COSU6337503400
COSU6338480430	COSU6338825450	COSU6338963280	COSU6338963090
COSU6338658760	COSU6337560520	COSU6337561040	COSU6338480450
COSU6338480500	COSU6337139210		

RPFF100. The per diem column totals \$102,806.00 (CX_000025) for the following MBLs:

COSU6881688180	COSU6886667940	COSU6888023780	COSU6316211170
COSU6887301640	COSU6886072220	COSU6881842290	COSU6341849100
COSU6333169520	COSU6340511980	COSU6887348240	COSU6887139760
COSU6331420240	COSU6341849230	COSU6882240150	COSU6886056120
COSU6333169540	COSU6881548300	COSU6320760721	COSU6341374080
COSU6301209400	COSU6339789530	COSU6881659000	COSU6886009720
COSU6333171340	COSU6886056260	COSU6886667960	COSU6886081960
COSU6881686510	COSU6308781950	COSU6887385930	COSU6333097550
COSU6318606772	COSU6338457780	COSU6330140510	COSU6887389780
COSU6885535760	COSU6339585940	COSU6333694150	COSU6881659040

COSU6337259900	COSU6334488640	COSU6329759390	COSU6284816710
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RPFF101. The yard storage column totals \$256,055.00 (CX_000025) for the following MBLs:

COSU6881688180	COSU6888104780	COSU6341131720	COSU6340933430
COSU6335692750	COSU6881690510	COSU6881733330	COSU6341083380
COSU6340293790	COSU6338884651	COSU6881728850	COSU6341086290
COSU6888038810	COSU6881728780	COSU6886162610	COSU6881728780
COSU6888023780	COSU6316211170	COSU6338346105	COSU6886072220
COSU6324503982	COSU6338701190	COSU6340511980	COSU6887139760
COSU6331420240	COSU6886083080	COSU6886056120	COSU6885191110
COSU6320760721	COSU6341374080	COSU6886009720	COSU6886056260
COSU6314066110	COSU6886081590	COSU6886081960	COSU6886113830
COSU6322076282	COSU6885633400	COSU6308781950	COSU6324340581
COSU6337503400	COSU6338480430	COSU6314065990	COSU6338825450
COSU6886176220	COSU6318606772	COSU6338457780	COSU6317447020
COSU6886591900	COSU6338963280	COSU6886072190	COSU6886553750
COSU6885535760	COSU6885633420	COSU6885536770	COSU6321830870
COSU6886600080	COSU6338658760	COSU6325664150	COSU6886113800
COSU6321022880	COSU6320760720	COSU6322076284	COSU6886091980
COSU6881686500	COSU6298009590	COSU6338480450	COSU6324756696
COSU6886191500	COSU6886039710	COSU6886039720	COSU6324995486
COSU6887138350	COSU6326913240	COSU6333784880	COSU6324995485
COSU6329759390	COSU6887106250	COSU6887138360	COSU6886663010

COSU6338480500	COSU6887106260	COSU6328744140	COSU6883155780
COSU6883713320	COSU6337647680	COSU6330666990	COSU6281584910
COSU6883155510	COSU6337259930		

RPFF102. While Laufer may have charged TZ for such services, COSCO does not provide “yard storage” nor does it issue invoices for “yard storage” fees. CX_001364 (Takase Dep. Tr. 29:8-11); RX_000084 (Kent Report at ¶ 32(b)); RX_000044 (Hackett Report at 40). No charges in TZ’s Amended Damages Spreadsheet can therefore be attributed to COSCO.